

# Vireo Audio - Refund Controls

**To:** Arjun Mehta, Finance Controller    **Subject:** Reconciled monthly refund view and control case

The export is overstating refund spend. The 18-month file has 12,238 rows but only 11,600 unique tickets because 638 migrated tickets appear once in each source. Paired legacy/helpdesk rows are identical on non-monetary fields and legacy monetary values are exactly 100x the helpdesk value, so the analysis retains one canonical row and divides legacy values by 100. The reconciled refund total is **Rs 67.10L** over 18 months, or about **Rs 11.18L** per quarter, consistent with the email thread's roughly Rs 11 lakh reference.

The operating measure should be refund rate rather than raw quarterly rupees. **Q3 2025 is 21.98% (about 22%)**. Using **15%** as a proposed management target and Vireo's stated 650 tickets/week, the sensitivity is about **589 fewer refunds per quarter**. At the observed average refund, that is approximately **Rs 16.90L potential refund-spend reduction per quarter**. This is a business-case sensitivity, not a forecast.

A direct policy control is clearer: **166 tickets** contain both a refund and a replacement. Refunds on those tickets total Rs 5.74L; the policy's replacement cost adds Rs 2.97L; combined exposure is **Rs 8.71L**.

There is also a coding problem. **879 tickets** are recorded as GW-OTHER above the Rs 500 goodwill cap, but the free text often describes standard cancellation, return, payment, transit, or warranty cases. I therefore built an AI review queue rather than calling them all waste. A local classifier agrees with recorded non-GW labels on 91.1% of a held-out set and flags 162 high-confidence GW-OTHER cases worth Rs 4.52L for human review.

The Q4 story needs nuance. Refund spend rose from Rs 12.07L in Q3 to Rs 16.28L in Q4, but refund rate fell from 21.98% to 20.24%. Overall CSAT moved from 3.48 to 3.51, a 0.03-point increase. The full dataset therefore does not reproduce the email claim of a +0.4 CSAT movement.

**Board-pack action:** use the 15% rate as a monitored operating case, stop refund+replacement double-awards, and review GW-OTHER coding before changing frontline concession policy.

Limitations: the /100 legacy conversion is inferred from paired rows and reconciliation because the policy does not publish the factor; delivery timestamps and dispatch status are absent, limiting full DOA/cancellation auditability.